

Price Cycle Continuation & Failed Base Strategy

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Market Cycles: The 500% Champion's Long & Short Strategy

Summary of the video "If You Only Watch ONE Market Cycle Trading Video, Make It This (500%+ Champion)" by Chart Fanatics.

A professional trader who achieved 80-140% returns in the US investing championships breaks down how to identify and trade both bullish and bearish market cycles using price action, moving averages, and volume. The strategy emphasizes simplicity (30% anticipation, 70% reaction), tight risk-reward ratios, and systematic trade management across daily and 5-minute timeframes.

The Champion's Track Record

Championship Performance

Clement traded in the US investing championships' \$1 million real money division, achieving over 80% return in 2024 and over 140% return in 2025, demonstrating consistent profitability in high-stakes environments.

Risk-Reward Philosophy

The core trading approach uses tight stops for one unit of risk to capture multiples of reward, allowing traders to scale positions and derisk quickly while maintaining exposure to larger moves.

Long Setup: The Bullish Cycle

Price Cycle Foundation

The long strategy is built on Oliver Kell's price cycle concept, viewing uptrends through the lens of the wedge pop, EMA cross-back, base formation, and breakout—a continuation setup within an established uptrend.

Entry Method 1: Buying on Strength

Buy when price breaks above the horizontal consolidation level (the breakout level) with confirmation. Set stop loss at the low of the current or prior day, creating a defined risk entry with multiples of potential reward.

Entry Method 2: Buying on Weakness

In choppy or extended markets, buy pullbacks into the 10 and 20-day EMAs rather than waiting for breakout confirmation. This provides much tighter risk-reward than buying on strength, especially when breakouts tend to fade.

Stock Selection Criteria

Trade stocks with at least \$50 million average daily dollar volume, more than 3% average daily range (ADR), strong group momentum, and relative strength versus the market during consolidation periods.

Trade Management: Scaling Out

Take 1/3 of position off when profit reaches 2x the average daily range. Take another 1/3 when price extends 8-10x ATR from the 50-day moving average. Trail the final 1/3 using the 10 or 20-day EMA as a stop, exiting on violation.

Timeframe Approach

Daily chart is used for setup identification and context, while 5-minute chart is used for precise entry timing and stop placement, allowing traders to catch intraday momentum within the larger daily setup.

Short Setup: The Bearish Cycle

Failed Base Pattern

Short setups target stocks that have been in an uptrend, formed a base, attempted to break out but failed—this is a late-stage failed base pattern that signals a shift from bullish to bearish structure.

Invalidation Signal: 20-Day EMA Violation

The first critical signal is when a stock violates its 20-day exponential moving average on larger volume than recent bars, indicating a shift in character and triggering placement on the breakdown watchlist.

Wedging Action and Entry

After violating the 20-day EMA, watch for the stock to attempt a recovery but form a wedge pattern on minimal volume—this shows weak buying demand. Short the turn lower with stop just above the high of day.

Market Confirmation

Ideal short entries occur when the broader market (QQQ) is also declining at the same time, providing 'wind at your back' and confirming the downtrend context.

Cover Strategy: Undercut and Rally

Cover half the position when price undercuts prior lows and then reclaims them (undercut and rally area). Cover the remaining half when price reclaims the 10-day EMA. Look for re-entry as price trades back into the 20-day EMA.

Aggressive Profit Taking on Shorts

Unlike longs where positions are trailed for extended moves, shorts are managed more actively. Take larger portions of profit earlier because downside moves come quickly and reversals can erase gains rapidly.

Real-World Chart Examples

Affirm (AFRM) 2023: Long Setup Success

AFRM bottomed during a three-wave market correction, then wedge-popped above the 200-day moving average as the market turned. It consolidated tightly on low volume showing relative strength, then broke out for a 20% move in 3 days with only 4% risk.

Palantir (PLTR) April 2024: Relative Strength Leader

PLTR showed immense relative strength by trading above its 200-day while the QQQ traded below all moving averages, signaling it would lead the recovery. Multiple consolidations and pullback buys generated extended gains, with a potential double on the 50-day trailing stop.

CoreWeave (CORE) 2024: Short Setup Execution

CORE broke down from a high-tight flag pattern, violated the 20-day EMA on low volume, formed a wedge, and failed on the intraday VWAP. Shorting the failure with sub-1% risk yielded a 28% downside move, demonstrating the 1-to-10 risk-reward ratio.

Simplicity Over Complexity

Analysis Paralysis from Over-Complication

Early in his trading career, Clement used complex chart layouts with multiple indicators (MACD, RSI, stochastics, money flow index) that generated conflicting signals and prevented him from executing trades. Removing complexity solved this problem.

Win Rate vs Risk-Reward Focus

The strategy has a 30% historical win rate, but this is acceptable because the focus is on the risk-reward game—when you win, you win big; when you lose, losses are small and predefined. This asymmetry generates positive expectancy.

Objective Entry and Exit Rules

Simple setups keep trading objective: you know exactly where your entry is, where your stop is, and when the trade is invalidated. This removes emotion and allows consistent execution.

Minimal Setup Requirements

Clement trades from a single 27-inch monitor with just price, moving averages, volume, and MACD—no complex multi-screen setup. This simplicity forces focus on what matters most.

Execution and Psychology

Training Your Eyes Through Historical Study

Identify the biggest winners year-by-year on daily charts, study their setups, understand the market context when entries occurred, and use AI tools to research why these stocks moved. This builds pattern recognition for real-time identification.

Market Context is Critical

Understanding where the market is in its cycle (correction, recovery, extended) informs which setups to prioritize. During corrections, look for stocks showing relative strength; during recoveries, leaders emerge from the base-building phase.

Re-entry Discipline and Revenge Trading Prevention

Short sellers may get wicked out of tight stops and need to re-enter. However, limit re-entries to a maximum of 3 attempts per ticker to prevent revenge trading and emotional decision-making.

Reaction vs Anticipation Balance

Trading is 70% reaction (flowing with what the market shows) and 30% anticipation (studying cycles and preparing for what's next). Come into the day with an opinion but be ready to abandon it if the market refutes it.

Advanced Concepts

Relative Strength as a Leading Indicator

Stocks showing relative strength during market corrections (trading sideways or up while the market declines) are likely to lead the recovery. This is a key filter for identifying which setups will generate the biggest moves.

Volume as Supply-Demand Confirmation

Receding volume during consolidation signals low supply and high probability of a breakout. Large volume on the wedge pop confirms demand. Minimal volume on recovery attempts after a breakdown confirms weak buying.

Base Duration and Move Magnitude

Larger bases (6+ weeks) tend to generate larger moves than small bases. The saying 'the bigger the base, the higher the space' reflects the accumulation principle—longer consolidation periods indicate more conviction building.

ATR-Based Position Sizing and Scaling

Use average true range (ATR) to define position size and scaling rules: take 1/3 off at 2x ADR profit, another 1/3 at 8-10x ATR extension from the 50-day, and trail the final 1/3. This scales profit-taking to volatility.

Five-Minute Chart for Precision Entries

While the daily chart identifies the setup, the 5-minute chart provides precise entry timing. Look for breakouts of the opening range, VWAP reclaims, or moving average tests on the intraday timeframe to time entries within the larger daily setup.

Notable quotes

I'm here playing the risk-reward game. With a tight stop for one unit of risk, you're getting multiples of your reward. — Clement

This isn't like an over-complicated strategy. I would say 30% anticipation and then 70% reaction. — Clement

People would be inclined to want to buy this high-tech flag. But then instead of breaking out, it breaks down. — Clement

Action items

Study the biggest winners from the past year on daily charts to train your eyes on what successful setups look like before they move.

Identify stocks with \$50M+ average daily dollar volume, 3%+ ADR, and relative strength during consolidation periods before considering them for entry.

Practice the two entry methods (buying on strength at breakout level vs buying on weakness into moving averages) on historical charts to determine which fits your trading style.

Set predefined scaling rules: take 1/3 off at 2x ADR profit, another 1/3 at 8-10x ATR extension, and trail the final 1/3 using the 10 or 20-day EMA.

For short setups, watch for stocks that break down from consolidation on volume, then short the wedge failure with stops just above the high of day.

Limit re-entries on failed trades to maximum 3 attempts per ticker to avoid revenge trading and emotional decision-making.

Use the 5-minute chart only for entry timing within the daily setup—don't use it for setup identification or directional bias.

Research why past big winners moved using AI tools and fundamental analysis to build conviction for similar setups in current market cycles.

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